Myth #5: Real estate investing is less risky

Imagine if you had a pushy real estate agent called Mrs Housing. Mrs Housing comes to your home every day to announce how much the price of your home has changed in the last 24 hours. Today it's worth $500 000, tomorrow it's worth $490 000, meaning you've lost $10 000. The day after it's worth $15 000 less. The next day it's worth $10 000 more after the Manns next door sold their home for a higher price, bringing up the value of your home.

On a rainy day your gutter overfills and Mrs Housing lets you know you just lost $4000 in home value. On a day when you finally decide to weed your garden Mrs Housing pops by to say the value of the house just increased slightly: $500, to be exact.

Mrs Housing is a Type A personality so she tracks these movements every day on a spreadsheet and shows you a graph of how your house price is moving. She brings this graph every day, and you see just how volatile the housing market can be.